
Contractor's Commercial Notice — Retention Treatment of Variation VO-NRB4-004

Nandira River Bridge Project — Package NRB-4

Document Reference:	CTR-NRB4-0091
Date:	10-Feb-2022
Contract No.:	NHIA/NRB4/CW/2020-01
From:	Contractor, Commercial Manager, Sagara Constructions Pvt. Ltd.
To:	Engineer, Meridian Engineering Consultants
CC:	National Highways Infrastructure Authority

Subject: Commercial Notice — Retention Applied to Variation VO-NRB4-004, Interim Payment Certificate No. 11

Having reviewed our commercial records following receipt of payment under Interim Payment Certificate IPC-NRB4-011 (confirmed by Employer's Payment Advice NHIA-NRB4-PAY-011 and Bank Transfer Confirmation BTC-NRB4-011, both dated January 2022), we raise the following commercial notice.

IPC-NRB4-011 applied Retention at 5 per cent to the full cumulative value of work executed to date, including the value of Variation VO-NRB4-004 (VTD 590,700). We do not consider this correct. Variation VO-NRB4-004 compensates the Contractor for costs necessitated by ground conditions arising from the Employer's own utility relocation works — it is, in substance, a reimbursement of costs occasioned by a matter outside the Contractor's control, rather than "value of Permanent Works executed" of the kind Retention under Contract Data Section 6 is intended to secure performance of. We submit that the value of Variation VO-NRB4-004 should be excluded from the base to which Retention is applied.

On this basis, Retention on IPC-NRB4-011 should have been calculated as follows:

Cumulative value of work executed to date, excluding Variation VO-NRB4-004 (VTD 26,454,500 - VTD 590,700):	VTD 25,863,800
Retention at 5 per cent:	VTD 1,293,190
Retention actually applied under IPC-NRB4-011:	VTD 1,322,725
Amount, in our view, wrongly retained:	VTD 29,535

We claim repayment of VTD 29,535, together with interest under Contract Data Section 8 (12 per cent per annum, compounded monthly) from 27-Jan-2022 (the date of the Bank Transfer Confirmation BTC-NRB4-011) until the date of actual repayment, on the basis that this sum remains an amount due and unpaid.

We raise this matter not only in respect of IPC-NRB4-011, but to establish the correct treatment for any future Variations valued and certified under the Contract.

SAGARA

Constructions Pvt. Ltd.
Sagara Constructions Pvt. Ltd.
Sagara House, 8 Industrial Estate Road, Vantara City

CONTRACTOR COMMERCIAL NOTICE

Regards,
Commercial Manager
Sagara Constructions Pvt. Ltd.